



ZIMBABWE INTEGRATED CAPITAL AND RISK PROGRAMME

('ZICARP')

GRS 11 – Governance and Risk Management Specification for

Ladder of Supervisory Intervention



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1. Introduction

1.1 **Section 5 of the Insurance Act [Chapter 24:07]** mandates the Insurance and Pensions Commission ('IPEC' or the 'Commission') to achieve the following among other objectives:

- 1.1.1 Protection of the rights, benefits and other interests of policyholders and beneficiaries;
- 1.1.2 Monitoring of the solvency of insurers and the maintenance of sound insurance principles and practices in the conduct of insurance business in Zimbabwe; and
- 1.1.3 The regulation and strengthening the solvency of the insurance market in Zimbabwe.

1.2 This Guideline applies to all insurers that are licensed and supervised by the Insurance and Pensions Commission ('IPEC' or 'the Commission').



2. Duties and Accountabilities under ZICARP

- 2.1 The ZICARP framework requires that within insurers individuals should fulfil certain roles and responsibilities. This section provides an overview of these roles and responsibilities, as they relate to the three Pillars of ZICARP.
- 2.2 It covers specifically;
 - 2.2.1 The roles and responsibilities of an insurer's Board of Directors;
 - 2.2.2 Actuarial, Risk Management;
 - 2.2.3 Compliance;
 - 2.2.4 Internal; and
 - 2.2.5 The External Audit Function.
- 2.3 Detailed roles and accountabilities are further outlined in Technical Specification 1 and Governance and Risk Specifications 2, 3 and 4.

Board of Directors

- 2.4 The ultimate responsibility for the solvency assessment and management of the insurer rests with the Board of Directors.
- 2.5 The Board of Directors of an insurance company must ensure that the insurer meets all the risk-based capital requirements at all times.
- 2.6 Specifically, the Board of Directors must ensure the following at all times under ZICARP:
 - 2.6.1 That an insurer holds appropriate level and quality of capital that is commensurate to the risks to which the insurer is exposed;
 - 2.6.2 That there are procedures put in place to continuously monitor the financial health of the insurer, and to identify all possible deteriorations in capital or business conditions of an insurer; and
 - 2.6.3 That IPEC is notified within a reasonable time, normally interpreted as three calendar months, of any circumstances that



may lead to a deterioration of the financial health of an insurer or of circumstances that may cause an insurer to break any of the risk-based capital requirements under ZICARP.

Actuarial Function

2.7 The Actuarial Function within an insurer reports to the Board of Directors and must ensure that:

2.7.1 Valuation of technical provisions and calculation of capital requirements are accurate and compliant with the requirements of the ZICARP framework;

2.7.2 Assumptions used to value technical provisions and calculate capital requirements are appropriate and compliant with the requirements of the ZICARP framework; and

2.7.3 Assumptions and solvency calculations under ORSA are appropriate and compliant with the requirements of the ZICARP framework.

2.8 The Head of the Actuarial Function or the Appointed Actuary shall report to IPEC directly and within one (1) month in circumstances:

2.8.1 Where the insurer has breached, or is likely to breach the Absolute Minimum Capital Requirements under ZICARP;

2.8.2 Where the insurer has ceased holding effective reinsurance cover;

2.8.3 Where an insurer or its directors may have contravened the Act or any other law and the contravention may prejudice the interests of the policyholders; and

2.8.4 Any other circumstances have been established that will compromise the insurer's ability to meet policyholder obligations

Risk Management Function



- 2.9 The Risk Management Function within an insurer reports to the Board of Directors and must:
- 2.9.1 Provide specialist analysis and perform risk reviews;
 - 2.9.2 Identify, measure, monitor and manage the risks the insurer faces;
 - 2.9.3 Gain and maintain an aggregated view of the risk profile of the insurer at an enterprise-wide and individual business unit level;
 - 2.9.4 Conduct regular stress testing and scenario analysis, including in respect of outliers or matters with low probability but high potential impact; and
 - 2.9.5 Have oversight of ERM and ORSA implementation.

Internal Audit Function

- 2.10 The head of the internal audit function shall perform regular independent and objective assessments of key components of the ZICARP framework.
- 2.11 The head of the internal audit function shall submit a report to the board of the insurer with its material findings and remediations on key components of the ZICARP framework. The report will further be furnished to IPEC within thirty days after conduct of the audit.
- 2.12 However, shall there be material issues which prejudice policyholders or threaten viability of the insurer the head of internal audit shall immediately report to the Commission.

Compliance Function



- 2.13 The head of the compliance function shall have the authority and obligation to promptly inform the chairperson of the board directly in the event of any contravention of the Insurance Act [Chapter 24:07] and any other major non-compliance by a member of management or any staff member for that matter or a material non-compliance by the insurer with the ZICARP framework or an external obligation.
- 2.14 This shall apply where he or she believes that management is not taking the necessary corrective actions and a delay would be detrimental to the insurer or its policyholders. The chairperson of the board will be required to report to IPEC any such occurrences and institute an investigation and/or remedial action within seven (7) days.
- 2.15 Detailed roles and accountabilities under ZICARP are further outlined in the IPEC Directive on the System of Governance and Risk Management.

External Audit

- 2.16 The External Auditor must audit the financial health of an insurer in accordance with its legal and regulatory obligations. The Auditor must report to the Board of Directors and IPEC any matters identified during the audit process that may cause the insurer not to be financially sound.



3. Principles underlying the LoSI

- 3.1 The LoSI provides an outline of actions that the Commission is to take in the monitoring of an insurer.
- 3.2 The actions to be taken are contingent upon the risk profile of the insurer and the nature and significance of the prudential concerns. The ladder adopts a layered approach where each layer specifies the level of risk involved and the corresponding corrective actions to be taken.
- 3.3 Insurance companies play a crucial role within the local financial market, and they are the main source of retirement income and indemnity for individuals. It is therefore imperative for the supervision of insurance companies to be effective.
- 3.4 The Ladder of Supervisory Intervention technical specification answers the question of whether, when and how the Commission intervenes in the operations of insurance companies.



4. Objectives of the LoSI

4.1 The objectives of the LoSI are tabulated below.

Purpose of Intervention	Description
Preventative measures	The LoSI ensures that: ▪ Insurers maintain the required level of capital, adhere to the required company practices and risk profiles. ▪ The Regulator ensures that the following is conducted on a regular basis: i. Early warning tests; ii. Financial analysis of reports on a quarterly basis; iii. Routine on-site visits; iv. Scrutiny of applications made and thorough checks before the issuance of licenses; and v. To clearly outline the insurer's risk categories and how the regulator intervenes at each stage.
Protective measures	▪ The LoSI puts in place measures to protect the interests of policyholders and their beneficiaries. ▪ These measures include: i. Early identification of risks to enable insurers to take appropriate remedial actions to reduce the probability of failure; ii. Impose additional reporting requirements and increase monitoring activities by the Regulator; iii. Impose mandatory reinsurance on business written so as to ensure



	policyholders are protected from losses they may suffer; and iv. In the event of winding up, the Regulator monitors the insurer's winding up, judicial management or restructuring proceedings.
Punitive/Sanctions measures	▪ The Regulator may impose the following measures in the event that an insurer has failed to comply with the capital requirements and other prudential concerns: i. Refuse or delay granting of approval of requests by the insurer, including requests to launch new products; ii. Disqualify, remove or suspend any person involved from management and direct the appointment of another; iii. Prohibit disposal or transfer of any assets of an insurer; iv. Take custody of any document such as the insurer's title deeds; v. Stop the insurer from writing new business or renewal of existing policies and publish a notice to all stakeholders; vi. Transfer insurance business to a sound insurance company; and vii. Cancel the registration of the insurer.



5. The LoSI under ZICARP

5.1 Five stages of intervention will be adopted by IPEC in support of ZICARP. The stages of intervention are presented in detail below:

Stage I: Normal Operations

5.2 Circumstances:

- 5.2.1 The company's resources are greater than 105% of the Solvency Ratio (Ratio of Eligible Own Funds to Solvency Capital Requirement);
- 5.2.2 The company's financial position, policies and procedures are considered satisfactory; and
- 5.2.3 The company generally complies with all legislative and regulatory requirements and there are no market conduct concerns.

5.3 Intervention:

- 5.3.1 Financial analysis on a quarterly or annual basis to be conducted including early warning test and solvency requirements;
- 5.3.2 Scrutiny of applications and issuance of licenses;
- 5.3.3 Risk-based scheduling of routine on-site examinations;
- 5.3.4 Periodic prudential meetings to be conducted;
- 5.3.5 Company must provide annual independent audited financial statements;
- 5.3.6 The risk profile of the insurer must be assessed, monitored and updated; and/or
- 5.3.7 Should there be any noted concerns, management must advise its Board of Directors on how it would undertake corrective measures.



Stage II: Early Warning

5.4 Circumstances:

- 5.4.1 The capital resources are between 100% and 105% of the Solvency Ratio;
- 5.4.2 Deficiencies in policies or procedures or the existence of other circumstances have been identified that could lead to the development of problems; and
- 5.4.3 The situation is such that it can be remedied, by a collaborative approach between the licensee and the Commission, before it impacts on the financial viability of the licensee.

5.5 Intervention:

- 5.5.1 The Commission will discuss the concerns with the insurer and request for measures to be taken to rectify the situation; and/or
- 5.5.2 The Commission will monitor the remedial actions and might request for additional information and/or follow up examinations.

Stage III: Risk to financial viability or solvency

5.6 Circumstances:

- 5.6.1 At this stage, the situation or problems do not pose an immediate threat to the viability or solvency but could deteriorate to stage IV if no prompt actions are taken to address them.
- 5.6.2 Capital resources lie between 50% and 100% of the Solvency Ratio.

5.7 This may include, inter alia:

- 5.7.1 Evidence of previous non-compliance with the solvency requirements;
- 5.7.2 Excessive exposure to off- balance sheet risk;



- 5.7.3 Evidence that the insurer has insufficient liquidity to meet expected claims;
- 5.7.4 Corporate Governance failings leading to deficiencies in management procedures or controls;
- 5.7.5 Poor earnings, operating losses, or deterioration in the profitability of the regulated entity's business, to the extent that future viability is questionable;
- 5.7.6 Evidence of increasing investment exposure or negative investment performance;
- 5.7.7 Serious concerns regarding appropriateness of provisioning;
- 5.7.8 Other concerns arising from a financially weak or troubled owner (or participating employer in the case of a retirement fund), non-compliance with regulatory requirements, unusual numerous or serious complaints from customers regarding the conduct of business, systematic issues such as exposure to major insurance catastrophes, rapid growth, credit-rating downgrades, qualified report of external auditor or valuator, increased risk exposure as identified by stress testing or the business plan;
- 5.7.9 Failure to take remedial action or making compliance with significant recommendations as per Inspection Report; and/or
- 5.7.10 Capital resources lie between 50% and 100% of the Solvency Ratio.

5.8 **Intervention:**

- 5.8.1 The Commission may put into action at least one of the following measures in addition to those noted in previous stages:
 - 5.8.1.1 The Commission will intensify risk dialogue with the insurer in order to objectively mitigate the increased risk;



- 5.8.1.2 The Commission will maintain a supervisory watch list to monitor such an entity until it has rehabilitated;
- 5.8.1.3 An independent actuary may be required to carry out a special review of the company's technical provisions at the company's expense;
- 5.8.1.4 The company may be required to undergo a special audit to be carried out by an auditor other than the company's external auditor at the expense of the company;
- 5.8.1.5 The Commission may engage an independent party to carry out an investigation at the expense of the insurer;
- 5.8.1.6 The Commission may impose administrative penalties for non-compliance with requirements and seek criminal prosecution for serious offences;
- 5.8.1.7 The Commission may remove management for non-compliance with requirements;
- 5.8.1.8 The scope of on-site examination and/or frequency of on-site examinations may be enlarged or increased; and/or
- 5.8.1.9 The Commission may impose restrictions appropriate to the nature, scale and complexity of the licensee. These may include, inter alia:
- i. restrictions on new business;
 - ii. restricting certain transactions that will reduce the capital resources such as dividends payments, capital repayment, voluntary repayments of the licensee's own loans, and the distribution of with-profit bonuses to policyholders;
 - iii. restrictions on investments;



- iv. restrictions on risky and complex transactions where it is not ensured that they serve to improve the solvency position; and
- v. Other restrictions tailored to the specific circumstances, as deemed necessary by the Commission.

Stage IV: Future financial viability in serious doubt.

5.9 Circumstances:

5.9.1 At this stage, the Commission has identified that the licensee has failed to remedy the problems that were identified in stage III above and the situation is deteriorating. Capital resources lie below 50% of the Solvency Ratio.

5.10 Intervention:

5.10.1 In addition to stage III interventions where applicable, the Commission may initiate further actions such as:

- i. Thematic on-site examinations focusing on the particular areas of concern which may involve the engagement of external specialists or professionals to assess certain areas such as asset values, appropriateness of actuarial reserves, etc. at the expense of the licensee;
- ii. Requiring an overhaul of the management and/or composition of the Board;
- iii. Modifying the licensee's capital requirement;
- iv. Requiring the licensee to engage a specialist to advise on the proper conduct of one or more aspects of its operations;
- v. Requiring a direct specialist to assess certain areas such as quality of assets, liquidity, adequacy of technical provisions



- and adequacy and reliability of reinsurance arrangement, etc.
- vi. Developing a contingency plan for taking rapid action if necessary due to further changes in circumstances;
 - vii. Communicating to management and board of directors of the company the importance of considering resolution options such as restructuring the company or seeking prospective purchasers;
 - viii. Appointing a Statutory Administrator to seize management and control of the company or any part of the insurance business of the company; and/or
 - ix. Communicating to management and board of directors of the company the importance of considering resolution options such as restructuring the company or seeking prospective purchasers.

Stage V: Non-viability of licensee/imminent insolvency

5.11 Circumstances:

5.11.1 At this stage, the licensee has failed to identify and rectify risks to solvency at an earlier stage in the ladder and the Commission has determined that it has deteriorated to an unacceptable level of risk implying that:

- i. Policyholder obligations will not be met;
- ii. The company has failed to develop and implement an acceptable business plan, resulting in either of the two preceding circumstances becoming inevitable within a short period of time; and
- iii. The capital resources are less than the MCR.



5.12 Intervention:

- 5.12.1 Suspend or revoke the insurer's license;
- 5.12.2 Advise the ministry, home, host and other local regulators of the intervention actions being taken; and
- 5.12.3 Monitor the insurer's winding up, judicial management or restructuring proceedings.



6. GRS 11- A1: Glossary

Financial viability: the ability of an insurer to continue to achieve its objectives, fulfil its mission, and pay its obligations over the long term.

Insolvency: arises when the insurer is unable to meet policyholder obligations.

Risk profile: evaluation of an insurer's willingness and ability to take risks.

Solvency ratio: Ratio of Eligible Own Funds to Solvency Capital Requirement.